

problem is, you never know when the balloon is going to pop and cause, for example, yesterday's coveted security to plummet 40 percent in an afternoon. Disciplined portfolio management is crucial to long-term success. This means buying at times when the market is low and selling at the times when the market is up.

*Holding losing positions too long.* An adage on Wall Street is "The first loss is the best loss." While realizing losses is never enjoyable, the wisdom here is that following an unprofitable decision, it is best to cut those losses and move on. Everyone missteps occasionally—even the world's savviest traders. Hedge funds, for example, can place mistaken bets (remember the Asian financial crisis?) and usually admit to these mistakes, even though this means registering losses of hundreds of millions of dollars. Advise your clients that they shouldn't regret realizing their losses. If people can learn to feel less grief when realizing that they have incurred losses, then the pain of owning up to a loss can be reduced and the effects of regret aversion in such instances can be lessened.

*Herding behavior.* If you're a practitioner and you believe that a decision your client has made reflects a herd mentality, then it can help to stop and question the investor's motivations. For example, you might ask your client to pinpoint whether the trade at hand relates to any particular long-term financial goal. Often, investors subject to pack mentalities have a hard time answering this question well. Disconcerted by their own hesitation, many clients at this point will step back and reconsider the consensus of the herd. Others, though, may rationalize: "This is my time to take a risk." This is not, in and of itself, a dangerous statement. Investors are permitted, on occasion, to gamble. They must, however, understand the stakes and the magnitudes of the gambles they undertake. Advisors can help by reminding their clients of the outcomes of some other "flyers" that have been taken in the past, so that, at the very least, a speculative decision can be grounded in an unbiased, historical perspective.

*Preference for good companies.* Investors often think they can save face (especially with their spouses) by buying stock in good companies like GE or Coca-Cola. Such household names have seen their ups and downs, however, just like competitor firms. Don't let clients limit themselves to good companies simply because they fear the regret they might experience if an investment in a lesser-known company doesn't work out. Remember that high-profile brands don't necessarily deliver returns either. GE and Coke are certainly